

BANARAS HINDU UNIVERSITY

B.Com. (Hons.) FMM — Semester III Examination, 2013-14

Paper No. BCF-212: Corporate Financial Management

Time: 3 Hours

Maximum Marks: 70

Instructions: Answer all questions. All questions carry equal marks (14 marks each).

Question 1.

Explain the scope of corporate finance.

[14]

OR

“The goal of profit maximization does not provide an operationally useful criterion for measuring the success of business operations.” Explain the statement.

[14]

Question 2.

Discuss the factors that influence the requirements of fixed capital of a company.

[14]

OR

Explain characteristics of a sound financial plan.

[14]

Question 3.

Critically examine the advantages and disadvantages of raising funds by issuing shares of different types.

[14]

OR

Examine the utility of public deposits as a source of corporate finance in India.

[14]

Question 4.

What do you mean by over-capitalisation? Discuss the causes and remedies of over-capitalisation.

[14]

OR

Distinguish between capitalisation and capital structure.

[14]

Question 5.

Explain the ‘Net operating Income’ approach of capital structure.

[14]

OR

Discuss briefly the factors governing the design of capital structure.

[14]

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